short-term economic costs of tight liquidity but that I was in no position to get locked into a time frame for the rollback. My intention was to allay market fears that the tight liquidity policy of the Reserve Bank would choke the incipient growth impulses in the economy in the midst of growing concerns about rapidly declining economic activity.

The market reaction to my response was unsparing; the rupee fell from ₹59.63 to a dollar to ₹60.48 by market closing that day. According to media analysts and commentators, I sounded apologetic about my decision to use monetary policy for exchange rate defence and that my concern for growth was misplaced in a context when the market expected the Reserve Bank to be focusing on the exchange rate to the exclusion of all other concerns. Here is how the *Financial Times* of 1 August 2013 reported my statement: 'The Governor insisted he was not trying to defend the battered rupee but only stopping a vicious spiral of one way bets that could lead the currency to overshoot its fair value.'

As I look back, I realize that I may have been guilty of a communication misstep. I should have known that at a time when the rupee was under such pressure, being firm and assertive on the exchange rate was way more important than holding out reassurance on growth. Moreover, I muffled the message by openly deliberating on other concerns when I should have shown undivided focus on the exchange rate.

At the same time, I was also puzzled by the market reaction since my reply was almost exactly along the lines we had stated in the printed document. I checked with Harun Khan, deputy governor, Alpana Killawala, the communications chief, and a few other colleagues. The consensus view was that the criticism of 'apologetic tone' stemmed not so much from the precise content of the reply rather than from the nuance and perhaps the body language.

Even as I was close to finishing my job as governor, I had yet to learn a rookie lesson in communication: markets don't take what the governor says at face value. At least, I had learnt to be opportunistic! I used the analysts' teleconference the following day to correct this misinterpretation. While replying to a related question, I asserted the 'Reserve Bank's single-minded